LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

NINE MONTH PERIOD ENDED 31 DECEMBER 2017

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the nine month period ended 31 December 2017

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-17	**31-Mar-17**	*As at*	**31-Dec-17**	**31-Dec-16**	**31-Dec-17**	**31-Dec-16**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Audited	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
				Re-stated		
		Assets				
54,215,239	460,015	Cash and cash equivalents	50,846,148	14,817,786	218,919	668,604
3,649,561	453,204	Trading assets - fair value through profit or loss	9,934,022	1,191,163	409,914	609,737
55,379,321	348,508	Investment securities	72,828,541	62,111,273	317,443	548,839
51,886,989	4,422	Finance lease receivables, hire purchases and operating leases	56,188,612	53,099,885	4,515	12,942
366,809,378	785,112	Advances and other loans	454,158,807	194,122,138	703,735	905,100
1,080,758	-	Insurance premium receivables	843,215	625,095	-	-
4,070,523	364,029	Inventories	4,162,520	4,093,398	327,687	460,536
1,404,425	131,566	Current tax assets	398,420	327,015	159,324	154,285
14,979,118	26,262,577	Trade and other current assets	24,510,141	11,467,366	26,173,929	29,032,377
741,279	-	Prepaid lease rentals on leasehold properties	2,282,309	739,343		
9,750,928	376,600	Investment properties	13,089,665	9,285,960	376,600	353,000
		Biological Assets;				
2,984,091	-	Consumer Biological Assets	2,998,510	6,102,971	-	-
1,151,494	-	Bearer Biological Assets	1,201,321	4,931,774	-	-
		Investments in group companies;				
-	61,670,676	Subsidiary companies	-	-	63,283,301	43,515,934
-	-	Jointly controlled entities	155,621	-	-	-
15,764,522	4,314,001	Equity accounted investees - Associates	16,264,277	20,464,358	4,314,001	7,816,377
1,492,249	-	Deferred tax assets	1,275,628	416,751	-	67,010
13,299,451	203,084	Intangible assets	13,402,228	2,545,865	202,464	211,780
42,265,514	6,633,567	Property, plant and equipment	45,684,003	37,889,979	6,333,068	4,648,073
640,924,840	**102,007,361**	**Total assets**	**770,223,988**	**424,232,120**	**102,824,900**	**89,004,594**
		Liabilities and equity				
		Liabilities				
7,365,332	1,691,299	Bank overdrafts	8,594,716	5,521,618	2,400,101	1,064,198
65,287	1,252	Trading liabilities - fair value through profit or loss	855,733	326,848	-	2,147
211,128,007	-	Deposits liabilities	285,610,272	90,458,647	-	-
286,749,284	51,006,998	Interest bearing borrowings	313,070,738	225,537,016	49,310,593	48,926,421
2,048,422	-	Insurance provision - life	2,887,228	2,179,481	-	-
2,729,985	-	Insurance provision - general	3,129,337	2,572,014	-	-
3,636,203	623,434	Current tax payables	6,272,613	3,273,676	32,958	209,133
17,682,263	1,238,204	Trade and other payables	28,471,549	15,327,564	4,188,505	2,161,289
4,492,485	219,926	Deferred tax liabilities	3,915,409	3,778,372	273,706	88,554
235,833	-	Deferred income	210,487	655,016	-	-
2,175,902	234,548	Retirement benefit obligations	1,297,353	2,159,777	263,881	205,950
538,309,003	**55,015,661**	**Total liabilities**	**654,315,435**	**351,790,029**	**56,469,744**	**52,657,692**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
8,932,444	3,377,627	Reserves	9,201,127	5,290,004	3,346,561	1,630,990
49,442,054	43,138,873	Retained earnings	57,328,934	38,718,262	42,533,395	34,240,712
58,849,698	**46,991,700**	**Equity attributable to shareholders of the Company**	**67,005,261**	**44,483,466**	**46,355,156**	**36,346,902**
43,766,139	-	Non-controlling interests	48,903,292	27,958,625	-	-
102,615,837	**46,991,700**	**Total equity**	**115,908,553**	**72,442,091**	**46,355,156**	**36,346,902**
640,924,840	**102,007,361**	**Total liabilities & equity**	**770,223,988**	**424,232,120**	**102,824,900**	**89,004,594**
123.84	**98.89**	**Net assets per share (Rs.)**	**141.00**	**93.61**	**97.55**	**76.49**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I.C.Nanayakkara
Deputy Chairman
15th February 2018, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-stated	Variance %	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-stated	Variance %
Gross income	**38,150,971**	**24,912,611**	**53**	**107,656,444**	**66,015,684**	**63**
Interest income	27,211,971	14,064,733	93	75,622,048	38,941,820	94
Interest expense	(15,403,788)	(9,923,769)	(55)	(43,475,993)	(23,768,706)	(83)
Net interest income	**11,808,183**	**4,140,964**	**185**	**32,146,055**	**15,173,114**	**112**
Revenue	6,212,330	5,876,331	6	16,854,474	16,780,716	0
Cost of sales	(4,198,222)	(3,695,197)	(14)	(10,944,560)	(10,419,294)	(5)
Gross profit	**2,014,108**	**2,181,134**	**(8)**	**5,909,914**	**6,361,422**	**(7)**
Income	3,667,364	2,966,504	24	10,093,052	7,809,438	29
Other income/(expenses) (Including net finance cost)	1,059,306	2,005,043	(47)	5,086,870	2,483,710	105
Profit before operating expenses	**18,548,961**	**11,293,645**	**64**	**53,235,891**	**31,827,684**	**67**
Operating expenses						
VAT on financial services	(627,656)	(501,194)	(25)	(1,900,513)	(1,378,515)	(38)
Other direct expenses excluding finance costs	(1,564,196)	(1,289,169)	(21)	(4,340,796)	(3,728,529)	(16)
Personnel costs	(4,928,240)	(2,953,614)	(67)	(13,872,840)	(8,802,169)	(58)
Net impairment (loss) / reversal on financial assets	(2,238,897)	(550,403)	(307)	(5,982,382)	(1,986,260)	(201)
Depreciation and amortization	(574,339)	(454,920)	(26)	(1,671,066)	(1,290,935)	(29)
Other operating expenses	(3,317,314)	(2,916,333)	(14)	(9,394,036)	(7,542,071)	(25)
Results from operating activities	**5,298,319**	**2,628,012**	**102**	**16,074,258**	**7,099,205**	**126**
Share of profits of equity accounted investees	631,577	1,064,858	(41)	1,565,913	3,031,855	(48)
Results on acquisition and divestment of group investments	1,597	-	-	1,597	196,208	(99)
Profit before income tax expense	**5,931,493**	**3,692,870**	**61**	**17,641,768**	**10,327,268**	**71**
Income tax expense	(1,503,746)	(878,533)	(71)	(4,397,883)	(2,411,968)	(82)
Profit for the period	**4,427,747**	**2,814,337**	**57**	**13,243,885**	**7,915,300**	**67**
Profit attributable to;						
Equity holders of the Company	2,550,722	2,774,022	(8)	7,263,132	7,527,452	(4)
Non-controlling interests	1,877,025	40,315	4,556	5,980,753	387,848	1,442
	4,427,747	**2,814,337**	**57**	**13,243,885**	**7,915,300**	**67**
Basic earnings per share (Rs.)	**5.37**	**5.84**	**(8)**	**15.28**	**15.84**	**(4)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-stated	Variance %	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-stated	Variance %
Profit for the period	**4,427,747**	**2,814,337**	**57**	**13,243,885**	**7,915,300**	**67**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(126,684)	(164,351)	23	363,630	(12,876)	2,924
Effect on translation differences for foreign operations	228,222	132,337	72	(169,407)	115,054	247
Net movement of cash flow hedges	(6,903)	(77,697)	91	(84,907)	(328,610)	74
Transfer of translation reserve on disposed foreign associate	(1,597)	-	100	(1,597)	-	100
Other comprehensive income/ (expense) for the year, net of tax	**93,038**	**(109,711)**	**(185)**	**107,719**	**(226,432)**	**(148)**
Total comprehensive income / (expense) for the period	**4,520,785**	**2,704,626**	**67**	**13,351,604**	**7,688,868**	**74**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	2,646,037	2,574,871	3	7,382,275	7,240,914	2
Non-controlling interests	1,874,748	129,755	1,345	5,969,329	447,954	1,233
Total comprehensive income / (expense) for the period	**4,520,785**	**2,704,626**	**67**	**13,351,604**	**7,688,868**	**74**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-classified	Variance %	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-classified	Variance %
Gross income	**2,683,081**	**2,936,198**	**(9)**	**7,777,486**	**7,825,689**	**(1)**
Interest income	683,553	1,118,544	(39)	2,135,739	2,614,177	(18)
Interest expense	(1,520,505)	(1,442,081)	(5)	(4,449,010)	(3,731,876)	(19)
Net interest income	**(836,952)**	**(323,537)**	**(159)**	**(2,313,271)**	**(1,117,699)**	**(107)**
Income	1,248,194	894,994	39	3,037,573	2,264,825	34
Other income/(expenses)	751,334	922,660	(19)	2,604,174	2,946,687	(12)
Profit before operating expenses	**1,162,576**	**1,494,117**	**(22)**	**3,328,476**	**4,093,813**	**(19)**
Operating expenses						
VAT on financial services	3,766	(27,880)	114	(28,014)	(48,180)	42
Other direct expenses excluding finance costs	(5,519)	(12,698)	57	(20,808)	(34,027)	39
Personnel costs	(482,531)	(425,729)	(13)	(1,082,557)	(974,617)	(11)
Net impairment (loss) / reversal on financial assets	134	1,888	93	1,823	3,544	49
Depreciation and amortization	(133,256)	(99,295)	(34)	(361,180)	(281,509)	(28)
Other operating expenses	(720,491)	(546,570)	(32)	(2,288,505)	(1,653,246)	(38)
Profit/(Loss) before income tax expense	**(175,321)**	**383,833**	**(146)**	**(450,765)**	**1,105,778**	**(141)**
Income tax expense	(43,532)	(101,468)	57	(154,716)	(237,985)	35
Profit/(Loss) for the period	**(218,853)**	**282,365**	**(178)**	**(605,481)**	**867,793**	**(170)**
Profit/(Loss) attributable to;						
Equity holders of the Company	(218,853)	282,365	(178)	(605,481)	867,793	(170)
Non-controlling interests	-	-	-	-	-	-
	(218,853)	**282,365**	**(178)**	**(605,481)**	**867,793**	**(170)**
Basic earnings/(loss) per share (Rs.)	**(0.46)**	**0.59**	**(178)**	**(1.27)**	**1.83**	**(170)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-classified	Variance %	31-Dec-17 Rs.' 000	31-Dec-16 Rs.' 000 Re-classified	Variance %
Profit/(Loss) for the period	**(218,853)**	**282,365**	**(178)**	**(605,481)**	**867,793**	**(170)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(49,510)	(66,013)	(25)	(31,065)	(22,328)	(39)
Other comprehensive income/ (expense) for the year, net of tax	**(49,510)**	**(66,013)**	**(25)**	**(31,065)**	**(22,328)**	**39**
Total comprehensive income / (expense) for the period	**(268,363)**	**216,352**	**(224)**	**(636,546)**	**845,465**	**(175)**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	(268,363)	216,352	(224)	(636,546)	845,465	(175)
Non-controlling interests	-	-	-	-	-	-
Total comprehensive income / (expense) for the period	**(268,363)**	**216,352**	**(224)**	**(636,546)**	**845,465**	**(175)**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2017

Company	Equity attributable to the shareholders of the Company					
	Stated Capital	Revaluation Reserve	Fair Value Reserve on AFS	Future Taxation Reserve	Retained Earnings	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2016	**475,200**	**1,283,286**	**165,032**	**205,000**	**33,372,919**	**35,501,437**
Total comprehensive income for the period						
Profit for the period	-	-	-	-	867,793	**867,793**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	(22,328)	-	-	**(22,328)**
Total comprehensive income for the period	-	-	(22,328)	-	867,793	**845,465**
Balance as at 31 December 2016 - Re-stated	**475,200**	**1,283,286**	**142,704**	**205,000**	**34,240,712**	**36,346,902**
Balance as at 01 April 2017	**475,200**	**3,139,620**	**33,006**	**205,000**	**43,138,876**	**46,991,702**
Total comprehensive income for the period						
Profit/(loss) for the period	-	-	-	-	(605,481)	**(605,481)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	(31,065)	-	-	**(31,065)**
Total comprehensive income for the period	**-**	**-**	**(31,065)**	**-**	**(605,481)**	**(636,546)**
Balance as at 31 December 2017	**475,200**	**3,139,620**	**1,941**	**205,000**	**42,533,395**	**46,355,156**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2017

	Equity Attributable to the Owners of the Company										
Group	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Translation Reserve**	**Future Taxation Reserve**	**Statutory Reserve Fund**	**Retained Earnings**	**Total**	**Non-controlling Interests**	**Total Equity**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
								Re-Stated		**Re-Stated**	**Re-Stated**
Balance as at 01 April 2016	**475,200**	**3,434,185**	**218,241**	**(1,105,365)**	**929,777**	**205,000**	**1,754,358**	**31,786,984**	**37,698,380**	**28,677,846**	**66,376,226**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	7,527,452	**7,527,452**	387,848	**7,915,300**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(17,807)	-	-	-	-	**(17,807)**	4,931	**(12,876)**
Net movement of cash flow hedges	-	-	(273,251)	-	-	-	-	-	**(273,251)**	(55,359)	**(328,610)**
Effect on translation differences for foreign operations	-	-	-	-	4,520	-	-	-	**4,520**	110,534	**115,054**
Depreciation transfer on revaluation	-	(206)	-	-	-	-	-	206	**-**	-	**-**
Total comprehensive income for the period	**-**	**(206)**	**(273,251)**	**(17,807)**	**4,520**	**-**	**-**	**7,527,658**	**7,240,914**	**447,954**	**7,688,868**
Reserve transfers	-	-	-	-	-	-	140,552	(140,552)	**-**	-	**-**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	**-**	-	**-**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	(455,828)	**(455,828)**	(559,252)	**(1,015,080)**
Disposal of Subsidiary	-	-	-	-	-	-	-	-	**-**	(389,273)	**(389,273)**
Dividends paid to non-controlling interests	-	-	-	-	-	-		-	**-**	(218,650)	**(218,650)**
Balance as at 31 December 2016 - Re-stated	**475,200**	**3,433,979**	**(55,010)**	**(1,123,172)**	**934,297**	**205,000**	**1,894,910**	**38,718,262**	**44,483,466**	**27,958,625**	**72,442,091**
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,358**	**(895,216)**	**744,533**	**205,000**	**2,158,162**	**49,442,053**	**58,849,699**	**43,766,141**	**102,615,840**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	7,263,132	**7,263,132**	5,980,753	**13,243,885**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	346,750	-	-	-	-	**346,750**	16,880	**363,630**
Net movement of cash flow hedges	-	-	(139,775)	-	-	-	-	-	**(139,775)**	(29,632)	**(169,407)**
Effect on translation differences for foreign operations	-	-	-	-	(86,235)	-	-	-	**(86,235)**	1,328	**(84,907)**
Transfer of translation reserve on disposed foreign associate	-	-	-	-	(1,597)	-	-	-	**(1,597)**	-	**(1,597)**
Total comprehensive income for the period	**-**	**-**	**(139,775)**	**346,750**	**(87,832)**	**-**	**-**	**7,263,132**	**7,382,275**	**5,969,329**	**13,351,604**
Reserve transfers	-	-	-	-	-	-	149,879	(149,879)	**-**	-	**-**
Depreciation transfer on revaluation	-	(341)	-	-	-	-	-	341	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	**-**	(747,478)	**(747,478)**
Non-controlling interests recognized on acquisition of subsidiaries	-	-	-	-	-	-	-	-	**-**	2,980,299	**2,980,299**
NCI contribution for subsidiary share issues	-		-	-	-	-	-	-	**-**	148	**148**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	777,397	**777,397**	(3,060,791)	**(2,283,394)**
Share issue cost of subsidiaries	-	-	-	-	-	-	-	(4,110)	**(4,110)**	(4,356)	**(8,466)**
Balance as at 31 December 2017	**475,200**	**6,601,268**	**(21,417)**	**(548,466)**	**656,701**	**205,000**	**2,308,041**	**57,328,934**	**67,005,261**	**48,903,292**	**115,908,553**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the nine month period ended 31 December 2017	Group		Company	
	2017	**2016**	**2017**	**2016**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
		Re-stated		
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	17,641,768	10,327,268	(450,765)	1,105,778
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(99,221)	(21,582)	(62,376)	(19,462)
Depreciation and amortization	1,671,066	1,290,935	361,180	281,509
Insurance provision	1,238,158	1,095,403	-	-
Change in fair value of forward contracts	101,315	144,547	-	-
Provision for gratuity	235,191	310,504	34,200	25,200
Net impairment (loss) / reversal on financial assets	5,982,382	1,986,260	(1,823)	(3,544)
Provision for fall/(increase) in value of investments	(485,530)	(159,898)	37,158	(41,312)
Investment Income	(497,024)	(29,554)	(38,546)	(194,825)
Finance costs	43,475,993	21,937,640	4,449,010	3,731,876
Interest income	(4,146,335)	(2,829,523)	(3,560)	-
(Profit)/loss on sale of quoted and non-quoted shares	(520,181)	1,294	(670)	7,538
Share of profits of equity accounted investees	(1,565,913)	(3,031,855)	-	-
Results on acquisition and divestment of group investments	(1,597)	(196,208)	-	-
Transaction cost on acquisition of subsidiaries	3,625	-	-	-
Operating profit before working capital changes	**63,033,697**	**30,825,231**	**4,323,808**	**4,892,758**
Working capital changes				
Increase/(decrease) in trade and other payables	10,074,325	3,739,287	2,464,428	807,806
(Increase)/decrease in investment in leases, hire purchase and others	(4,828,156)	(1,885,728)	2,906	(1,837)
(Increase)/decrease in investment in advances and other loans	(92,098,599)	(34,539,790)	80,199	853,718
(Increase)/decrease in premium receivables	237,543	176,070	-	-
(Increase)/decrease in inventories	(91,997)	(456,275)	36,341	2,224
(Increase)/decrease in trade and other receivables	(9,353,681)	(669,710)	75,690	(13,399,953)
(Increase)/decrease in customer deposits	74,265,743	16,292,915	-	-
Cash generated from operations	**41,238,875**	**13,482,000**	**6,983,372**	**(6,845,284)**
Finance cost paid	(39,341,616)	(20,221,415)	(4,129,709)	(3,579,064)
Income tax and Economic Service Charge paid	(1,081,583)	(903,708)	(258,286)	(61,661)
Defined benefit plan costs paid	(1,117,123)	(210,429)	(5,528)	(4,113)
Net cash from/(used in) operating activities	**(301,447)**	**(7,853,552)**	**2,589,849**	**(10,490,122)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(1,612,622)	(7,503)
Net cash and cash equivalents on acquisition of subsidiary	626,251	-	-	-
Net cash and cash equivalents received on disposal of subsidiary	-	506,520	-	-
Investment in equity accounted investees	(306,441)	(1,167,037)	-	-
Acquisition of non-controlling interests	(2,286,764)	(1,084,807)	-	-
Acquisition/ (Disposal) of property, plant and equipment and leasehold rights	(5,917,260)	(6,605,328)	(560,836)	(543,337)
Acquisition / (Disposal) of intangible assets	(72,036)	(104,952)	(71,433)	(68,690)
Net additions to trading assets	(5,278,750)	1,364,988	-	137,581
Net additions to investment securities	(16,752,077)	(1,172,709)	37,868	(155,836)
Proceeds from the sale of property, plant and equipment	47,297	84,602	634,587	77,720
Interest received	4,146,335	2,829,523	-	-
Dividend received	546,110	257,726	53,112	194,825
Net additions to biological assets	(96,199)	(190,182)	-	-
Net cash flow from investing activities	**(25,343,533)**	**(5,281,656)**	**(1,519,324)**	**(365,240)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	(12,887,584)	26,051,251	(3,863,864)	14,469,061
Principal repayment under finance lease liabilities	(585,818)	-	(37,256)	(208,616)
Proceeds from long-term interest bearing loans and borrowings	84,952,397	-	3,613,861	865,286
Repayments of long-term interest bearing loans and borrowings	(49,676,694)	(7,864,258)	(1,728,446)	(1,350,576)
Dividends paid to non-controlling interests	(747,478)	(218,650)	(4,717)	-
NCI contributions to share issue of subsidiaries	148	39,550	-	-
Cost on issue of shares of subsidiary	(8,466)	-	-	-
Net cash generated from financing activities	**21,046,505**	**18,007,893**	**(2,020,422)**	**13,775,155**
Net increase/(decrease) in cash and cash equivalents during the period	(4,598,475)	4,872,685	(949,897)	2,919,793
Cash and cash equivalents at the beginning of the period	46,849,907	4,423,483	(1,231,285)	(3,315,387)
Cash and cash equivalents at the end of the period	**42,251,432**	**9,296,168**	**(2,181,182)**	**(395,594)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	50,846,148	14,817,786	218,919	668,604
Unfavorable Bank Balances used for cash management purposes	(8,594,716)	(5,521,618)	(2,400,101)	(1,064,198)
	42,251,432	**9,296,168**	**(2,181,182)**	**(395,594)**

Figures in brackets indicate deductions.
The above figures are not audited

1 The Statement of Financial Position as at 31 December 2017, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the nine month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries and associates and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2016/17 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2017.

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than disclosed as follows.

8.1 Proposed merger of LOLC Finance PLC and LOLC Micro Credit Limited

On 29th January 2018 LOLC Finance PLC (LOFC) a subsidiary of the group acquired 100% of the shares of LOLC Micro Credit Ltd (LOMC) another subsidiary of the group and the acquisition price was Rs.156.18 per share totalling to Rs.12,291Mn.

In December 2017 LOLC group received approval from the Central Bank of Sri Lanka (CBSL) to acquire 100% shares of LOMC and to merge LOMC with LOFC in line with the financial sector consolidation plans. Post merger LOFC will be the remaining entity. LOMC was 80% owned by Lanka Orix Leasing Company PLC (LOLC) and 20% by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO).

The merger is expected to be completed by 31st March 2018 and post merger, Since this business combination is within entities under the common control of the ultimate parent LOLC, no business combination will happen at LOLC Group level other than the increase in reported net assets as a result of above acquisition under SLFRS 3.

9 Market prices of ordinary shares recorded during the quarter ended 31st December 2017 are as follows;

Closing price	115.10
Highest Price	145.00
Lowest Price	112.00

10 Comparative information Re-classification

The presentation and classification of the following items in these Financial Statements are amended to ensure comparability with the current period.

	Company for the Nine Moths period ended 31st Dec 2017		
	As Previously Reported	**Re-classification**	**Current Period Presentation**
	2016 Rs. '000	**Rs. '000**	**2016 Rs. '000**
Income			
Other operational income/ shared service income	63,163	2,201,662	2,264,825
Operating expenses			
Personnel costs	202,034	772,583	974,617
Other operating expenses	224,167	1,429,079	1,653,246

	Company for the three Moths period ended 31st Dec 2016		
	As Previously Reported	**Re-classification**	**Current Period Presentation**
	2016 Rs. '000	**Rs. '000**	**2016 Rs. '000**
Income			
Other operational income/ shared service income	42,433	852,561	894,994
Other income/(expenses)	915,726	6,934	922,660
Operating expenses			
VAT on financial services	6,551	21,329	27,880
Other direct expenses excluding finance costs	34,027	(21,329)	12,698
Personnel costs	46,179	379,550	425,729
Other operating expenses	66,625	479,945	546,570

11 Information on Company's listed debentures

11.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds as per the Central Bank Reports on 29 December 2017

	Buying	Selling
4 Year Bond		
Price Rs.	101.70	101.88
Yield	9.81%	9.72%
5 Year Bond		
Price Rs.	99.40	99.79
Yield	9.96%	9.85%

11.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price Rs.	100.34	101.20
Yield	11.26%	11.05%

	Current period
Yield to maturity of trade done on 04.12.2017	10.20

Debt to equity	1.22	times
Interest cover	1.41	times
Quick asset ratio	1.96	times

11.3 The market prices and yield during the period (ex interest)

Highest price	93.20
Lowest price	89.60
Last traded price	93.20

12 Backed to backed deposits details

	As at 31 December 2017
	Rs. '000
Back to back deposits on foreign funding	24,981,252
Interest income earned on back to back deposits	586,993

13 Group portfolio information

	As at 31 December 2017
	Rs. '000
Gross portfolio	521,778,831
Non-performing portfolio > 6 months	10,583,011
Allowance for non-performing portfolio	11,584,417

14 Significant movement in the figures are noted in the group financial results and financial position as a result of PRASAC Microfinance Institution Limited becoming a subsidiary from an associate in the comparative period. Further, impact is also noted due to divestment of the investments in Hydro & Plantation sector.

15 Acquisition of NPH Investment Pvt Ltd

During the Quarter, Browns Hotels & Resorts Ltd, a subsidiary of the Group has increased controlling stake in NPH Investment Pvt Ltd ("NPHI") from 50% to 51% with the further acquisition of balance 01% hold by third-party investor. With the above acquisition, NPHI became subsidiary of the group with effect from October 2017.

The provisional fair values of the identifiable assets and liabilities of the acquire as at the date of acquisition were;

	Rs. '000
Assets	
Cash and cash equivalents	15,176.00
Advances and other loans	20
Trade and other receivables	125,075
Prepaid lease rentals on leasehold properties	1,564,535
Investment in jointly controled entity	156,891
Deferred tax asset	1,409
Property, plant and equipment	2,288,399
	4,151,505
Liabilities	
Interest bearing borrowings	261,488
Trade and other payables	1,173,121
	1,434,609
Fair value of identifiable net assets acquired	**2,716,896**

Results of the acquisitions of above subsidiaries are as follows;

Fair value of consideration paid (net of transaction cost)	1,401,757
Non-controlling interests acquired	1,320,963
	2,722,720
Fair value of identifiable net assets acquired	2,716,896
Resulting goodwill	**5,824**

16 Deconsolidation of Agalawatte Plantations PLC

As disclosed in the Note no 31.10 to the Annual Report of the Company, In July 2016, the Group acquired 60.80% stake in Agalawatte Plantations PLC (APL) with a long term view and considered it as an investment in Subsidiary of the Group. Accordingly, Agalawatte Plantations PLC was consolidated and unaudited financial statements for the quarters ended 30th September 2016 and 31st December 2016 was presented.

Consequent to the matters disclosed in the same note, in order to present the substance of the transaction and its effect, the management concluded that the investment in APL not to be treated as an investment in subsidiary from the date of acquisition for the purpose of preparing consolidated financial statements of Lanka Orix Leasing PLC for the year ended 31st March 2017. Accordingly, comparative information has restated with the above effect.

The impact on the deconsolidation of Agalawatte plantations PLC to the group financial statements explained below;

Effect on Total Comprehensive Income

For the Period Ended	Group		
	31-Dec-16		
	Rs.'000	Rs.'000	Rs.'000
	As Previously Reported	Re-statement	As Per Amendments
Gross income	**65,125,055**	**890,629**	**66,015,684**
Interest income	38,941,820	-	38,941,820
Interest expenses	(21,937,640)	(1,831,066)	(23,768,706)
Net interest income	**17,004,180**	**(1,831,066)**	**15,173,114**
Revenue	17,543,804	(763,088)	16,780,716
Cost of sales	(10,717,893)	298,599	(10,419,294)
Gross profit	**6,825,911**	**(464,489)**	**6,361,422**
Income	7,809,484	(46)	7,809,438
Other income/(expenses)	829,947	1,653,763	2,483,710
Profit before operating expenses	**32,469,522**	**(641,838)**	**31,827,684**
Operating expenses			
VAT on financial services	(1,378,515)	-	(1,378,515)
Other direct expenses excluding finance costs	(3,728,528)	(1)	(3,728,529)
Personnel costs	(9,243,521)	441,352	(8,802,169)
Net impairment loss on financial assets	(1,986,260)	-	(1,986,260)
Depreciation and amortization	(1,292,369)	1,434	(1,290,935)
Other operating expenses	(7,705,170)	163,099	(7,542,071)
Results from operating activities	**7,135,159**	**(35,954)**	**7,099,205**
Share of profits of equity accounted investees	3,082,179	(50,324)	3,031,855
Results on acquisition of Group investments	196,208	-	196,208
Profit before income tax expense	**10,413,546**	**(86,278)**	**10,327,268**
Income tax expense	(2,460,503)	48,535	(2,411,968)
Profit for the year	**7,953,043**	**(37,743)**	**7,915,300**
Profit attributable to;			
Equity holders of the Company	7,532,488	(5,036)	7,527,452
Non-controlling interests	420,555	(32,707)	387,848
	7,953,043	**(37,743)**	**7,915,300**
Basic earnings per share (Rs)	**15.85**	**(0.01)**	**15.84**

Figures in brackets indicate deductions

Deconsolidation of Agalawatte Plantations PLC

Effect on Statement of Financial Position	**As at 31 December 2016**		
	Previously Reported	**Re-statement**	**Restated**
Statement of Financial Position	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Assets			
Cash and cash equivalents	14,833,810	(16,024)	14,817,786
Trading assets - fair value through profit or loss	884,997	306,166	1,191,163
Investment securities	62,111,273	-	62,111,273
Finance lease receivables, hire	53,099,885	-	53,099,885
Advances and other loans	194,122,138	-	194,122,138
Insurance premium receivables	625,095	-	625,095
Inventories	5,187,461	(1,094,063)	4,093,398
Current tax assets	327,015	-	327,015
Trade and other current assets	11,834,239	(366,873)	11,467,366
Prepaid lease rentals on leasehold properties	802,154	(62,811)	739,343
Investment properties	8,371,928	914,032	9,285,960
Real estate stocks	-	-	-
Biological Assets;			
Consumer biological assets	6,910,827	(807,856)	6,102,971
Bearer plants	7,265,108	(2,333,334)	4,931,774
Investments in group companies;			
Subsidiary companies	-	-	-
Jointly controlled entities	219,551	(219,551)	-
Equity accounted investees - Associates	20,505,991	(41,633)	20,464,358
Deferred tax assets	416,751	-	416,751
Intangible assets	2,560,154	(14,289)	2,545,865
Property, plant and equipment	38,776,617	(886,638)	37,889,979
Total assets	**428,854,994**	**(4,622,874)**	**424,232,120**
Liabilities and equity			
Liabilities			
Bank overdrafts	5,583,453	(61,835)	5,521,618
Trading liabilities - fair value through profit or loss	326,848	-	326,848
Deposits liabilities	90,458,647	-	90,458,647
Interest bearing borrowings	227,354,944	(1,817,928)	225,537,016
Insurance provision - life	2,179,481	-	2,179,481
Insurance provision - general	2,572,014	-	2,572,014
Current tax payables	3,278,425	(4,749)	3,273,676
Trade and other payables	17,142,741	(1,815,177)	15,327,564
Deferred tax liabilities	3,917,054	(138,682)	3,778,372
Deferred income	655,422	(406)	655,016
Retirement benefit obligations	2,805,105	(645,328)	2,159,777
Total liabilities	**356,274,134**	**(4,484,105)**	**351,790,029**
Equity			
Stated capital	475,200	-	475,200
Reserves	5,290,004	-	5,290,004
Retained earnings	38,722,823	(4,561)	38,718,262
Equity attributable to shareholders of the Company	**44,488,027**	**(4,561)**	**44,483,466**
Non-controlling interests	28,092,833	(134,208)	27,958,625
Total equity	**72,580,860**	**(138,769)**	**72,442,091**
Total liabilities & equity	**428,854,994**	**(4,622,874)**	**424,232,120**

Figures in brackets indicate deductions

Lanka Orix Leasing Company PLC
Operating Segments

For the nine month period ended 31 December 2017	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Power Generation	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	93,395,408.00	5,163,287.00	13,863,153.00	2,333,979.00	2,416,956.00	-	(9,516,339)	**107,656,444.00**
Net interest cost	(42,874,825)	(7)	(1,097,220)	(1,412,869)	(404,387)	-	2,313,315	**(43,475,993)**
Cost of sales	-	-	(9,604,383)	(978,907)	(367,834)	-	6,564	**(10,944,560)**
Profit before operating expenses	**50,520,583**	**5,163,280**	**3,161,550**	**(57,797)**	**1,644,735**	**-**	**(7,196,460)**	**53,235,891**
Operating expenses	(34,282,972)	(4,786,294)	(3,044,522)	(1,079,107)	(1,448,894)	-	7,480,156	**(37,161,633)**
Results from operating activities	**16,237,611**	**376,986**	**117,028**	**(1,136,904)**	**195,841**	**-**	**283,696**	**16,074,258**
Share of profits of equity accounted investees	-	-	-	-	-	1,565,913	-	**1,565,913**
Results on acquisition and divestment of group investments	-	-	-	-	-	-	1,597	**1,597**
Profit before taxation	**16,237,611**	**376,986**	**117,028**	**(1,136,904)**	**195,841**	**1,565,913**	**285,293**	**17,641,768**
For the nine month period ended 31 December 2016 - Re-stated								
Gross income	51,387,435	4,088,879	12,639,331	1,093,391	4,624,158	-	(7,817,510)	66,015,684
Net interest cost	(24,857,890)	-	(882,630)	(594,807)	(353,630)	-	2,920,251	(23,768,706)
Cost of sales	-	-	(8,951,250)	(250,364)	(1,221,044)	-	3,364	(10,419,294)
Profit before operating expenses	26,529,545	4,088,879	2,805,451	248,220	3,049,484	-	(4,893,895)	31,827,684
Operating expenses	(18,152,616)	(3,856,616)	(2,820,057)	(928,652)	(2,912,780)	-	3,942,242	(24,728,479)
Results from operating activities	8,376,929	232,263	(14,606)	(680,432)	136,704	-	(951,653)	7,099,205
Share of profits of equity accounted investees	-	-	-	-	-	3,031,855	-	3,031,855
Results on acquisition and divestment of group investments	-	-	-	-	-	-	196,208	196,208
Profit before taxation	8,376,929	232,263	(14,606)	(680,432)	136,704	3,031,855	(755,445)	10,327,268

For the nine month period ended 31 December 2017	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Power Generation	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	5,955,171	-	27,211	-	-	-	-	**5,982,382**
Depreciation and amortization	1,037,204	35,908	213,493	195,605	181,356	-	7,500	**1,671,066**
Total assets (as at 31 December 2017)	735,776,114	10,779,487	50,678,195	41,005,218	9,506,355	-	(77,521,381)	**770,223,988**
Total liabilities (as at 31 December 2017)	624,853,834	7,262,888	29,397,191	18,891,772	6,111,295	-	(32,201,545)	**654,315,435**
For the nine month period ended 31 December 2016 - Re-stated								
Net impairment (loss) / reversal on financial assets	1,986,260	-	-	-	-	-	-	**1,986,260**
Depreciation and amortization	585,910	36,679	198,729	205,357	255,357	-	8,903	**1,290,935**
Total assets (as at 31 December 2016)	403,445,666	8,427,919	30,414,975	32,199,906	24,311,240	-	(74,567,586)	**424,232,120**
Total liabilities (as at 31 December 2016)	347,737,995	5,781,893	14,932,267	11,518,407	13,798,132	-	(41,978,665)	**351,790,029**

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 31 December 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	9,934,022	-	-	**9,934,022**	**9,934,022**	Level 1 and Level 2
Investment securities	-	-	10,744,024	62,084,517	**72,828,541**	**72,828,541**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	56,188,612	**56,188,612**	**55,604,250**	Level 3
Advances and other loans	-	-	-	454,158,807	**454,158,807**	**453,864,966**	Level 3
Total financial assets	**-**	**9,934,022**	**10,744,024**	**572,431,936**	**593,109,982**	**592,231,780**	
Trading liabilities - fair value through profit or loss	855,733	-	-	-	**855,733**	**855,733**	Level 1
Deposits liabilities	-	-	-	285,610,272	**285,610,272**	**287,323,934**	Level 3
Interest bearing borrowings	-	-	-	313,070,738	**313,070,738**	**314,949,162**	Level 3
Total financial liabilities	**855,733**	**-**	**-**	**598,681,010**	**599,536,743**	**603,128,829**	

Rs'000

As at 31st March 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,649,561	-	-	**3,649,561**	**3,649,561**	Level 1 and Level 2
Investment securities	-	-	9,449,096	45,930,225	**55,379,321**	**55,379,321**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	51,886,989	**51,886,989**	**51,347,364**	Level 3
Advances and other loans	-	-	-	366,809,378	**366,809,378**	**366,572,052**	Level 3
Total financial assets	**-**	**3,649,561**	**9,449,096**	**464,626,592**	**477,725,249**	**476,948,299**	
Trading liabilities - fair value through profit or loss	65,287	-	-	-	**65,287**	**65,287**	Level 1
Deposits liabilities	-	-	-	211,128,007	**211,128,007**	**212,394,775**	Level 3
Interest bearing borrowings	-	-	-	286,749,284	**286,749,284**	**288,469,780**	Level 3
Total financial liabilities	**65,287**	**-**	**-**	**497,877,291**	**497,942,578**	**500,929,842**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 December 2017

Directors Name	No of shares	%
Mr. I C Nanayakkara *Deputy Chairman*	91,613,792	19.279
Commercial Bank/ I. C. Nanayakkara	79,000,000	16.625
Sampath Bank/ I. C. Nanayakkara	61,774,000	13.000
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno *Alternate Director to H Nishio*	-	-
Mr.Kyokazu Ishinabe *Alternate Director to Mr. H Yamaguchi*	-	-

Top 20 shareholders as at 31 December 2017

	Shareholder	No. of Shares	% of Issued Capital
1	Orix Corporation	142,560,000	30.000
2	Mr. I C Nanayakkara	91,613,792	19.279
3	Commercial Bank of Ceylon PLC/ Ishara Chinthaka Nanayakkara	79,000,000	16.625
4	Sampath Bank PLC/ Ishara Chinthaka Nanayakkara	61,774,000	13.000
5	Mrs. K U Amarasinghe	23,760,000	5.000
6	Employees Provident Fund	15,182,259	3.195
7	HSBC Intl Nom Ltd - BBH - Matthews International Funds	12,121,473	2.551
8	Renaissance Capital (Private) Limited	8,671,625	1.825
9	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN AMRO MULTI - MANAGER FUNDS	6,937,775	1.460
10	Creation Investments SLI LLC	3,889,246	0.818
11	Mrs. I Nanayakkara	2,827,948	0.595
12	Mr. R C De Silva	1,683,200	0.354
13	J B Cocoshell (Pvt) Ltd	1,418,054	0.298
14	Swastika Mills Ltd	985,703	0.207
15	Mrs. S N Fernando	818,440	0.172
16	Dr. M Ponnambalam	772,616	0.163
17	Mr. G G Ponnambalam	766,818	0.161
18	HSBC Intl Nom Ltd - BBH - Matthews Emerging Asia Fund	573,466	0.121
19	Mr. R Maheswaran	500,000	0.105
20	Miss. A Radhakrishnan	500,000	0.105
21	Miss. A Radhakrishnan	500,000	0.105
		456,856,415	**96.140**

	31st December 2017
The float adjusted market capitalization	8,800,509,168
Public Shareholding	16.09%
No. of Public shareholders	2,861
Complience Level	Complied under Option 02